
Completed acquisition by Diageo plc of United Spirits Limited

ME/6130/13

The OFT's decision on reference under section 22(1) given on 25 November 2013. Full text of the decision published 6 February 2014.

Please note that the square brackets indicate figures or text which have been deleted or replaced in ranges at the request of the parties or third parties for reasons of commercial confidentiality.

PARTIES

1. Diageo plc ('**Diageo**') manufactures and supplies spirits, wine and beer in the UK and around the world. Diageo is the owner of a number of spirits brands both worldwide and in the UK, including Smirnoff vodka, Bell's and Johnnie Walker Scotch whisky, Baileys liqueur, Tanqueray gin and Captain Morgan rum.
2. United Spirits Limited ('**United Spirits**') is based in India and is part of the United Breweries Group. It manufactures and supplies spirits in the UK and in other countries. All of its sales of products in the UK are made through its UK subsidiary, Whyte & Mackay Limited ('**W&M**'). W&M is a Scottish company, based in Glasgow, which manufactures and sells a range of spirit products including Scotch whisky and vodka. In the UK, its brands include Whyte & Mackay, Dalmore and Isle of Jura Scotch whisky and Vladivar vodka. It also distributes Russian Standard vodka on behalf of Roust. United Spirits' UK revenue in the financial year ending March 2012 was approximately £[].

TRANSACTION

3. On 4 July 2013, Diageo completed and publicised its acquisition of a 25.02 per cent interest in United Spirits ('**the merger**'). Diageo acquired its shareholding via a combination of existing shares from other shareholders (including some from a mandatory public tender offer) and newly issued shares. In total the consideration for the shares acquired was approximately £595 million.

4. The terms of a shareholder agreement between Diageo, United Breweries (Holdings) Limited ('**UBHL**') and Kingsfisher Finvest India Limited (who are also shareholders in United Spirits) requires UBHL to vote its shareholding (of 11.08 per cent) as directed by Diageo which effectively gives Diageo a 36.1 per cent voting right in United Spirits.¹

JURISDICTION

5. As a result of the merger, Diageo and United Spirits (the '**Parties**') have ceased to be distinct.
6. The parties submitted that Diageo's shareholding, together with its voting rights and control of the board and key management positions, gives Diageo sole control of United Spirits. They note that [].
7. The Office of Fair Trading ('**OFT**') has considered the level to which the change of control relates in this case. Under the Enterprise Act 2002 (the Act), two enterprises will cease to be distinct if they are brought under common ownership or control. A person with an interest falling short of outright voting control, including the ability directly or indirectly to control or materially to influence the policy of an enterprise may be treated as having control of that enterprise for the purposes of determining whether enterprises have ceased to be distinct (section 26(3) of the Act). Three levels of control are therefore recognised: a controlling interest (de jure control); the ability to control policy (de facto control); and the ability materially to influence policy (material influence)². The ability to exercise material influence is the lowest level of control that may give rise to a relevant merger situation.³
8. In this case, Diageo has a shareholding of around 25 per cent and voting rights equivalent to around 36 per cent of United Spirits shares. Additionally, Diageo has a number of rights in relation to the Board of directors of United Spirits. The Board will be comprised of 10 directors, of which Diageo is entitled to nominate [] and appoint three of them to the roles of CEO, CFO and the Head of Internal Audit. Diageo therefore appoints the key executive management and the majority of the non-independent directors on the board. Further, four non-executive directors of

¹ []

² OFT, Jurisdictional and Procedural Guidance, paragraph 3.14

³ OFT, Jurisdictional and Procedural Guidance, paragraph 3.15

United Spirits are appointed at Diageo's recommendation although these are not necessarily affiliated to Diageo.

9. The OFT considers that there has been a change in control over United Spirits. However, Diageo does not hold a majority of the shares in United Spirits, nor does it have a majority of the voting rights. Furthermore, although Diageo is able to appoint the CEO of United Spirits, undoubtedly a key and influential position in the operation of the company, []. For these reasons the OFT does not consider that Diageo has full or de jure control over United Spirits. However, the OFT considers that Diageo has acquired at least material influence over United Spirits so that Diageo and United Spirits have ceased to be distinct.
10. United Spirits' UK turnover was significantly in excess of £70 million in the year to March 2012, and the OFT is not aware of any reason it would not also be above £70 million for the last business year as well. Consequently, the OFT considers that the turnover test in Section 28 of the Act is satisfied.
11. The OFT therefore believes that it is or may be the case that a relevant merger situation has been created.
12. The OFT's statutory deadline (extended) expires on 2 January 2014. The OFT's administrative deadline expires on 25 November 2013.

FRAME OF REFERENCE

13. The parties overlap in the UK in the manufacture and supply of several spirits categories, namely Scotch whisky, vodka, rum and liqueur as well as ready-to-drink alcoholic beverages (RTDs). The parties' sales are principally to retailers (off-trade customers where drinks are consumed off the premises), on-trade customers (where drinks are consumed on the premises, such as hotels, restaurants and other catering establishments), and wholesalers that sell into each of these customer channels. The parties also trade bulk whisky with other competitors, as part of the production process of blended whisky.

WHISKY

PRODUCT SCOPE

14. The OFT considers that product market definition provides a framework for assessing the competitive effects of the merger and involves an element of

judgement. The boundaries of the market do not determine the outcome of the OFT's assessment in any mechanistic way, and the OFT may take into account constraints from outside the relevant market, or the degree to which competitive constraints – inside and outside of the market—are more important than others.⁴

15. The OFT emphasises the particular relevance of this approach in this case, noting that most of the affected bottled spirits categories are characterised by high levels of differentiation and branding with significant advertising and/or promotional spending. Further, the main suppliers, including the merging parties, supply a range of brands and are active across a number of spirits categories, as are some specific brands.
16. In the case of whisky, the OFT considers finished (bottled) product separately from the bulk supply of the liquid from distilleries to other whisky producers, as they are at different levels of the supply chain.

Bottled whisky

17. Both the European Commission ('**the Commission**') and the OFT have previously drawn a distinction between Scotch whisky and other types of whisky.⁵ Previous decisions have noted Scotch is differentiated on the basis of taste and consumption patterns. On the supply-side, it has been noted that point of origin is important for labelling of certain types of whisky (specifically, in the *Diageo/Bushmills* case the OFT stated that for a whiskey to be labelled 'Irish' it must be distilled and matured in Ireland⁶).

Different types of whisky

18. In assessing the relevant market, the OFT's starting position is to consider the narrowest plausible candidate markets where the parties overlap, and then to assess the extent to which the products within these candidate markets may be constrained by other products outside them.⁷

⁴ This approach is in line with the CC's and OFT's joint *Mergers Assessment Guidelines*, September 2010, paragraph 5.2.2.

⁵ COMP/M.938 *Guinness/Grand Metropolitan*, paragraph 147, COMP/M.2268 *Pernod Ricard/Diageo/Seagram* Spirits, European Commission decision of 8 May 2001, COMP/M.3779 *Pernod Ricard/Allied Domecq*, European Commission decision of 24 June 2005, *Anticipated acquisition by Diageo plc of The 'Old Bushmills' Distillery Company Limited*, OFT Decision of 11 August 2005 (*Diageo/Bushmills*)

⁶ *Diageo/Bushmills*, paragraph 10.

⁷ *Merger Assessment Guidelines*, paragraph 5.2.11

19. The parties pointed to the previous decisional practice noted above and submitted that the appropriate product scope was at least bottled Scotch whisky or wider (that is, whisky including Scotch, US, Canadian, Irish and other origin whisky). The parties considered that it was not appropriate to narrow the product scope of Scotch whisky on the basis of price or quality as the continuum of prices meant no meaningful distinction could be made.
20. The parties submitted that the only possible way to further segment the Scotch whisky market is between blended (largely consisting of blended products which may be blended from a combination of different grain products and a malt whisky product) and malts (largely consisting of single malts sourced from one distillery and to a lesser extent blended malt whiskies sourced from a range of distilleries). Each of these distinctions, between Scotch and other whiskies, and then, within Scotch, between blended and malt whisky is considered below in turn.

Scotch and other whiskies

21. Third party responses supported a product scope of Scotch whisky. Third party responses pointed to Scotch being distinct from other types of whisky. They noted that there were differences in taste and end-consumer preferences between Scotch and other types of whisky. The majority of on-trade and off-trade customers explained that a five per cent increase in the price of all Scotch would not result in significantly reduced sales volumes. No customer noted that there would be significant switching from Scotch in this scenario.
22. The OFT notes that third party responses suggest that a five per cent price rise by a hypothetical monopolist in Scotch would be profitable. For a whisky to be labelled Scotch, it must be distilled and matured in Scotland. As a result, and on a cautious basis, the OFT assesses the merger on the basis of Scotch separately from other whiskies.

Malt and blended Scotch whisky

23. Within Scotch whisky, third party responses also pointed to a further distinction between blended and malt whiskies. The majority of on-trade and off-trade customers explained that a five per cent increase in price in only one of these categories would not significantly reduce their purchases in this category. No customer noted that there would be significant switching between blended and malt.

24. Third parties also noted that there were differences in the taste and end-consumer preferences between blended whiskies and malts. Some off-trade customers explained that in comparison to blended whisky, malts were used more as gifts than for regular consumption, and were typically sold at considerably higher prices. Customers suggested that there was limited substitution between the two.
25. The OFT further notes that the parties' internal documents [].
26. As a result, the OFT considers that substitution between blended Scotch whiskies (blends of grain and malt whisky) and malt Scotch whiskies (whether single malt or blends of malts) is sufficiently limited to consider blended Scotch and malt Scotch separately for the purposes of the competitive assessment.
27. Within malt whisky, some third parties – in both the on-trade and off-trade – noted that malt can be separated into quality categories for 'premium' or 'deluxe' whiskies and that within single malts a distinction could be made by region within Scotland where the malt whisky was produced, although the general view is that all malts compete with each other. It was noted that each single malt had its own character⁸ and that regional differences did not necessarily limit competition to malts from a given region.
28. Whilst the OFT considers that it may be possible to identify narrower distinctions within blended and malt Scotch whisky, for example, in terms of price and quality (for example, some customers noted that they used a separate category for 'premium' or 'deluxe' whiskies) the OFT considers that the precise product scope in this regard can be left open in this case.

Competition between branded products and private label

29. The parties argued that private label bottled whisky should be included in the relevant market. In this respect, they pointed to internal documents showing that []. They noted that private label scotch is regularly purchased by almost [25-35] per cent of Bell's customers, and over [35-45] per cent of W&M's customers. The parties also referred to evidence on switching between private label and branded Scotch whisky (discussed further in the competitive assessment below).⁹

⁸ The OFT's investigation found evidence that some single malts are light and delicate whereas others are rich and smoky.

⁹ Including their analysis of the parties' promotions, and Nielsen and Dunnhumby switching data.

30. Almost all off-trade customers noted that they had a private label whisky but this was the case for only two on-trade customers. Off-trade customers pointed to a stronger constraint on private label whisky from branded whisky than the other way round (on branded from private label).¹⁰ A number of customers explained that they would buy more branded Scotch if the price of private label Scotch increased, pointing to a constraint from branded on private label Scotch.
31. Some customers suggested that higher private label wholesale prices may strengthen the negotiating position of branded suppliers. Most retailers earn higher profit margins in private label than branded Scotch. This in conjunction with the views of some customers and the level of end-user substitution between private label and branded Scotch discussed below suggests private label to some extent may be an attractive alternative to branded Scotch for retailers. It may therefore constrain to some extent the prices negotiated with branded Scotch suppliers.
32. Empirical evidence at the end-user level points to substitution by consumers between branded and private label, which, in this case, serves to corroborate the views of retailers.¹¹
33. The OFT notes that many of the concerns outlined by off-trade customers in this case relate to the potential for harm to arise from the changed incentives on Diageo, due to the addition of W&M's private label supply.
34. As a result, taking a cautious approach, the OFT has considered private label and branded whisky together in its competitive assessment of the supply of blended Scotch in the off-trade.

Customer segmentation

35. The OFT may sometimes define relevant markets for separate customer groups if the effects of a merger on competition to supply a targeted group

¹⁰ This is consistent with OFT's typical starting position on market definition on private label and branded products.

¹¹ The OFT is conscious of the potential limits in drawing inferences from end-consumer level switching to the private label supply negotiations of retailers (including their ability to substitute private label and branded products) where such end-user information is not corroborative of the views of retailers themselves (see, for example, the analysis of vodka in this case) and places less weight on the end-user information in the context of substitution decisions, for example, involving private label, that may be driven to a greater extent by the retailer's preferences. This approach to drawing inferences from end-consumers level switching is consistent with the OFT's approach in other cases such as Anticipated acquisition by Unilever of Alberto Culver Company, OFT decision of 18 March 2011.

of customers may differ from its effects on other groups of customers. Alternatively, it may define one relevant market but take into account the scope for price discrimination between different customer groups.¹²

36. As noted above, the parties supply to both on-trade and off-trade customers. The Commission has considered each to be distinct markets in relation to the supply of whisky in a recent decision¹³ and noted the distinction in others.¹⁴ The OFT has also considered (but did not conclude on) the distinction in the *Diageo/Bushmills* whisky merger. In other mergers the OFT has also considered the on-trade and off-trade separately in its competitive assessment including in AB/Inbev¹⁵ and Symington/Cockburns.¹⁶
37. The parties submitted that there are not separate markets for the on-trade and off-trade channels. They explained that both sets of customers are supplied with the same products at similar prices. They noted that promotions may differ slightly between the two channels, but that this activity is coordinated separately.
38. However, this was not supported by the OFT's market testing. First, the OFT notes that price discrimination between both channels is possible and takes place, due to individual customer negotiations, and that arbitrage between each channel is difficult: smaller on-trade customers, for example, can source through wholesalers, cash and carry outlets or from large retailers, if they can obtain a cheaper price, but generally, the extent to which resale between channels is possible appears limited.
39. Both competitor and customer responses pointed to differences in the competitive conditions in the off-trade and on-trade raising the potential for targeted adverse effects and the effects of the merger varying for different customer groups. The key differences are summarised below.
- There was a significant difference in the degree of concern from each channel, with many concerns from off-trade customers and no significant concerns from on-trade customers.

¹² *Merger Assessment Guidelines*, paragraphs 5.2.28 to 5.2.31.

¹³ *Pernod Ricard/V&S*

¹⁴ *Guinness/Grand Metropolitan, Pernod Ricard/Diageo/Seagram Spirits*

¹⁵ Anticipated acquisition by InBev NV/SA of Anheuser-Busch Companies Inc, OFT decision of 18 November 2008, although this did not relate to Scotch whisky.

¹⁶ Anticipated acquisition by Symington Family Estates of the Cockburn's Port brand, OFT decision of 7 December 2010, although again this did not relate to Scotch whisky.

- There is a stronger presence of private label supply in the off-trade (and the main focus of customers' concerns in this channel).
 - There are significant differences in promotional activity with high/low pricing being a much greater feature in the off-trade channel, whereas end-consumers in on-trade outlets are much less price conscious. In on-trade, promotional activity is focused on gaining visibility for the supplier's brands within on-trade outlets, in particular through being the spirit of choice for the bar staff (pouring rights). Off-trade promotions are focused on frequent significant price discounts, which is the key driver of sales along with shelf space positioning. These promotional discounts are funded primarily by the manufacturer, not the retailer.
 - Premium-positioned brands play a more important role in the on-trade sector.
 - Suppliers have different sales teams focused on the on-trade and off-trade respectively.
40. The OFT also notes that within the off-trade, there may be further distinctions within travel retail with third parties noting that this is more focused on premium brands, limited edition products, and experiential promotions (for example, setting up sponsored bars). Suppliers also view travel retail as a unique advertising and promotional opportunity for their brands. As such, suppliers typically have dedicated sales teams or distribution arrangements for this channel.
41. The OFT considers that the differences highlighted by third parties discussed above mean that taking a cautious basis it is appropriate to distinguish between the on-trade and off-trade channel. However, in the present case the OFT has not found it necessary to conclude whether travel retail constitutes a further, distinct sub segment within the off-trade. In the absence of competition concerns on any basis, travel retail is not considered further.

Bulk supply of whisky

42. The parties explained that whisky manufacturers purchase bulk whisky from one another at the wholesale level to ensure that they have available a full range of flavours and maturities to produce their own whisky blends. The parties both supply bulk malt whisky under reciprocal swap arrangements (where another producer offers their whisky in return) and grain whisky on both a cash and reciprocal swap basis.

43. In their submission, the parties drew a distinction between bulk malt whisky and bulk grain whisky, although they did not state what they considered the appropriate product scope was with respect to bulk supply. The OFT notes that, on the demand-side, customers drew a distinction between grain and malt whisky, and that they would not switch between the two if the price of one increased by five per cent.
44. Customers suggested that grain whisky has a much more neutral flavour and is used primarily to produce blended Scotch, whereas malts (when not used to produce single malts) are used to add flavour and colour to blends, which limits the extent of substitution between them. They refer to differences in taste, higher prices and increased scarcity of older whisky as well as age claims advertised on certain whiskies limiting what can be used in a blend (for example, 12-year old blends cannot include whisky that is less than 12 years old).
45. On the supply-side, the parties noted that grain whisky involved a different production process to malt whisky, with grain whisky being supplied continuously whereas malt whisky is supplied in batches. Competitors confirmed that it was not possible to use a grain distillery to produce malt whisky or for a malt distillery to produce grain whisky.
46. The OFT considers that in bulk supply of Scotch whisky, grain whisky is distinct from malt whisky due to limited substitutability between the two on the demand-side and supply-side. The OFT also notes that there may be further segmentation by age but considers this as part of the competitive assessment if and where applicable, and leaves the precise product scope open in this regard.

GEOGRAPHIC SCOPE

Bottled whisky

47. In bottled whisky, the Commission has found the scope of the geographic market to be national, primarily because of strong national preferences and consumption behaviours.¹⁷ In *Diageo/Bushmills*, the OFT took the UK to be the relevant frame of reference for the purposes of that case, although the possibility of a wider frame being more appropriate was not excluded.

¹⁷ *Guinness/Grand Metropolitan, Pernod Ricard/Diageo/Seagram Spirits, Pernod Ricard/Allied Domecq and Pernod Ricard/V&S*

48. The parties argued that the appropriate geographic market is national in scope, due to the UK-wide footprint of their customers, and the fact that prices are determined for the UK in general rather than particular regions in the UK. [].
49. Third party responses generally supported a UK-wide geographic scope. Suppliers corroborated the parties' submission that pricing (both retail and wholesale) and promotions are set at a national level. For example, one considered it to be no wider than national due to strong national preferences, logistics and distribution networks, marketing strategies, taxation and legislation. Others pointed to some regional variation in the strength of different brands within UK, for example, the W&M brand being stronger in Scotland than in England and Wales.
50. Accordingly, the OFT has used a UK geographic scope in its competitive assessment for the supply of bottled whisky, given the largely national nature of the whisky supply arrangements between suppliers and their customers.

Bulk whisky

51. The parties made no submission on the relevant geographic scope of the bulk supply of whisky. One competitor considered the market to be international, whereas another pointed to transport costs and logistics leading to different competitive conditions within the UK relative to abroad. The OFT notes that its conclusions are unlikely to differ on a wider basis given that the vast majority of Scotch whisky is traded within the UK (and indeed within Scotland). The OFT has not found it necessary to conclude on the exact geographic scope in relation to bulk whisky and has assessed the merger on the basis of the supply of bulk whisky in the UK.

VODKA

PRODUCT SCOPE

52. In assessing the relevant market for vodka, the OFT's starting position has been branded vodka, where the parties are both active, and to then assess the extent to which branded vodka may be constrained by private label sufficiently to warrant widening the product market (to include both branded and private label). This differs from the approach in whisky where the parties are active in branded but W&M is also active in the supply of

private label. In previous decisions,¹⁸ both the Commission and the OFT have drawn a distinction between vodka and other types of spirits as noted above. Previous decisions have also considered whether there is any distinction based on the quality of vodka and whether private label supply should be included in the product scope of branded vodka.¹⁹ The OFT considers these issues below.

Segmentation by quality of vodka

53. Third party responses received during the course of the OFT's investigation pointed to a possible distinction between value, standard and premium vodkas, with some customers noting that they would not switch between any of the three if there was a five per cent price rise in one category but not the other two. The OFT notes that the International Wine & Spirit Research (IWSR) annual report segments the different vodka brands into value, standard, premium and super premium categories, as well as categorising flavoured vodka separately. This categorisation is also reflected in some of the internal documents provided by the parties.
54. The parties argued that in vodka any distinction based on price and/or quality was not relevant in the UK market. As with whisky, they argued that the continuum of prices meant no meaningful distinction could be made between a 'value', 'standard', 'premium' or 'super premium' segment of vodka.
55. The OFT considers that there may be a distinction in quality between different vodkas but, to the extent that they are relevant, has reflected these distinctions in its direct assessment of the effects of the merger, which takes account of the closeness of competition between brands. The OFT has not found it necessary to conclude on the precise product scope.

Competition between branded products and private label

56. As with whisky, the parties argued that private label should be included in the relevant market. In this respect, they referred to evidence on

¹⁸ *Guinness/Grand Metropolitan, Pernod Ricard/Diageo/Seagram, Pernod Ricard/V&S, Diageo/Nolet*

¹⁹ See *Guinness/Grand Metropolitan and Pernod Ricard/Diageo/Seagram*; and *Anticipated joint venture between Diageo plc and Nolet Beheer B.V. involving the 'Ketel One' business*, OFT Decision of 29 February 2008 (*Diageo/Nolet*).

switching²⁰ between private label and branded vodka (discussed further in the competitive assessment below).

57. Almost all off-trade customers noted that private label vodka exerted no constraint on branded vodka. In particular, they submitted that private label did not affect the wholesale prices of branded vodka. Only one noted some competitive interaction.
58. Empirical evidence (discussed further below) suggests that there may be some substitutability between private-label and branded vodka, at least for end-consumers, although, as noted above, the OFT is cautious in giving weight to this end-user level information when it is not corroborative of the views of retailers, in the context of private label substitution. Further, some retailers noted that their profit margins in private label vodka are lower than in branded vodka. This may limit the extent that retailers can threaten to switch (or may wish to switch) to private label, and therefore the constraint private label places on the wholesale prices of branded vodka. Taking this all into account, and particularly given the fact the parties are only active in branded vodka, the OFT takes a cautious approach²¹ and considers branded and private label separately for the purposes of its competitive assessment.

Customer segmentation

59. The OFT refers to the points made on customer segmentation with respect to whisky above. These points are also relevant in the supply of vodka. The OFT notes that the parties do not believe that there are separate markets for the on-trade and off-trade channels. However, the differences highlighted by third parties discussed in relation to whisky above (but that are also relevant to vodka) mean that the OFT considers that it is appropriate to distinguish between the on-trade and off-trade channel.

GEOGRAPHIC SCOPE

60. The OFT refers to the points made on geographic scope with respect to whisky above. The broad points made there are also relevant in the supply of vodka. The OFT notes that the parties consider the geographic scope to be UK-wide. Third-party responses generally support a UK-wide geographic

²⁰ Including their analysis of the parties' promotions, and Nielsen and Dunnhumby switching data.

²¹ The most cautious approach in whisky is to include private label to take into account W&M's significant presence in private label and both parties' supply of branded products. The opposite is true in vodka as neither party supplies private label vodka.

scope. They corroborated the parties' submission that pricing (both retail and wholesale) and promotions are set at national level. They indicated that there was less variation in the strength of different brands in vodka than is the case with whisky, with the exception of Glens vodka selling better in Scotland than in England.

61. The OFT has used a UK geographic scope in its competitive assessment for the supply of vodka given the largely national nature of the supply arrangements between suppliers and their customers and few regional differences in the strength of different brands.

RUMS, LIQUEURS AND RTDs

62. The parties also overlap in the sale of rums, liqueurs and ready-to-drink alcoholic beverages (RTDs). The parties did not comment on the precise frame of reference with respect to these overlaps.
63. The OFT refers to previous decisional practice which drew distinct product scopes for each type of spirit.²² The OFT has received no evidence that a wider product scope would be more appropriate in spirits. Third parties pointed to little switching outside of rum or a particular category of liqueur.
64. In rum, one competitor considered it competed for shelf space with other spirits such as whisky. However, customers generally explained that they would not make this switch and some even pointed to a distinction between different types of rum.
65. In RTDs one competitor considered that consumers would very quickly and easily switch to beers, lagers, ciders, perrys or wines if RTDs became cost prohibitive.
66. The OFT has considered rums, RTDs, and each type of liqueur separately in its competitive assessment. However, the OFT has not found it necessary to conclude on the precise product scope.
67. In terms of customer segmentation and geographic scope, third party comments give no reason to depart from the OFT's findings in relation to whisky and vodka. In rum, RTDs, and liqueur, the OFT therefore uses a UK geographic scope and distinguishes between the off-trade, on-trade and travel retail, although as with the product scope the OFT has not found it

²² *Guinness/Grand Metropolitan, Pernod Ricard/Diageo/Seagram, Pernod Ricard/V&S, Diageo/Nolet*

necessary to conclude in the absence of competition concerns on these issues on any basis.

CONCLUSION ON THE FRAME OF REFERENCE

68. The OFT uses the following product frames in its competitive assessment.

- blended Scotch whisky (bottled) including private label (for the off trade segment only)
- malt Scotch whisky (bottled) excluding private label
- bulk grain Scotch whisky
- bulk malt Scotch whisky
- vodka (excluding private label)
- rum
- each type of liqueur
- RTDs.

69. The OFT distinguishes between the off-trade and on-trade customer segments. The OFT has adopted a UK geographic scope in bottled products, although the OFT has not found it necessary to conclude on the precise scope in the case of the travel retail customer segment or the bulk supply of whisky.

COMPETITIVE ASSESSMENT

IMPACT OF THE TRANSACTION

70. The OFT is concerned only by the impact of the Transaction. The focus of the competitive assessment is therefore on the incremental effect on competition of Diageo's shareholding and the control this confers on Diageo. In order to assess the incremental effect of the Transaction, the OFT must consider the extent to which the interest Diageo will have in United Spirits will affect competition between the parties post-merger. The parties submitted that Diageo's interest will give it operational control over the competitive parameters of United Spirits. Although this control is short of full control for jurisdictional purposes, for the substantive assessment in the specific circumstances of this Transaction, the OFT considers that post-merger Diageo and United Spirits will operate – including setting prices, output and capacity – as if a single entity.

WHISKY

HORIZONTAL EFFECTS

71. The OFT has examined the possibility that the merged entity could unilaterally impose prices above the pre-merger level or otherwise deteriorate its competitive offering. Where products are relatively undifferentiated (as with new bulk grain whisky) unilateral effects are more likely where the market is concentrated, there are few firms post-merger, the merger results in a firm with a large market share and there is no strong competitive fringe of firms. Unilateral effects are also more likely in such markets where customers have little choice of alternative supplier.²³
72. When products are highly differentiated (as with bottled whisky), unilateral effects concerns are more likely if the brands of the merging parties are close substitutes.²⁴ Where this is the case, the parties will recapture a significant share of the sales lost in response to a price increase post-merger, making the price rise less costly.

Bottled blended Scotch whisky in UK off-trade

73. The OFT has considered below the loss of competition between the parties' blended Scotch whisky products in the off-trade segment. A number of customers and competitors raised concerns in this segment, pointing to Diageo's potential incentives to withdraw or limit private label supply post merger, or the possible loss of competition between Diageo and W&M brands resulting in higher prices. This relates to the loss of competition resulting from the merger between, principally, Bell's and W&M. In assessing the effect of the merger, the OFT has taken account of W&M's presence in private label sales. Diageo is not active in the supply of private label whisky in UK retail, but W&M is a large supplier. The OFT takes into account W&M's activities in private label in two ways:
- The loss of the competitive constraint on Diageo's whisky brands reflects the aggregate constraint on Diageo from both W&M's branded bottled blended Scotch whisky and private label blended Scotch whisky which W&M mostly supplies to retailers, albeit taking account of the fact that the retailer itself controls the key variables of

²³ *Merger Assessment Guidelines*, paragraphs 5.4.4 to 5.4.5

²⁴ *Merger Assessment Guidelines*, paragraph 5.4.2 and 5.4.6.

competition regarding the supply of private label whisky to the end consumer.^{25, 26}

- The increment of W&M's private label products to Diageo's branded products, alongside W&M's branded products, may materially affect the post-merger incentives of the parties to continue to supply private label Scotch whisky at prevailing levels or prevailing prices. By reducing private label supply or making them more expensive the parties could potentially benefit through capturing sales diverted to branded products. This will depend on retailers' ability to switch to other private label suppliers.

74. Each of these is considered in turn below.

Shares of supply

75. The OFT notes that shares of supply may not accurately reflect the degree of competition between the parties' and competing suppliers' brands due to the degree of brand differentiation in Scotch whisky. Nonetheless, the OFT considers shares of supply provide an instructive overview of the main competing suppliers and brands in blended Scotch whisky. The table below shows these shares.

²⁵ This additional layer of the supply chain – the negotiations between private label manufacturer and retailer – means the retailer may have other options for the supply of private label so that the private label constraint (from the retailer) may continue to be exerted on the parties post-merger. The alternative options for the retailer in the supply of private label is discussed in detail below.

²⁶ Similarly, any constraint from Diageo applies to the W&M branded product and on the retailer's private label product, a large proportion of which, in the aggregate, is supplied by W&M.

Table 1 UK Off-trade blended Scotch whisky (by value)

Distributor and brand	Share of revenues (per cent)
DIAGEO	[20-30]
Bell's	[20-30]
Johnnie Walker	[0-10]
W&M	[0-10]
W&M	[0-10]
Claymore	[0-10]
Highland Pride	[0-10]
Diageo and W&M combined (including private label)	[40-50]
MAXXIUM	[20-30]
Famous Grouse	[15-25]
Teacher's	[0-10]
PRIVATE LABEL *	[20-30]
W&M	[10-20]
Other private label suppliers	[0-10]
FIRST DRINKS	[5-15]
Grant's	[5-15]
GLEN CATRINE (High Commissioner)	[0-10]
PERNOD RICARD (Chivas Regal)	[0-10]
BURN STEWART	[0-10]
BOOKER	[0-10]
Others	[0-10]
Total	100

Source: OFT analysis of AC Nielsen data (based on sales over the year to October 12)

Notes: * Private label has been split out by the underlying manufacturer rather than the retailer to highlight W&M's activities in this area.

76. The parties' combined share of UK supply in off-trade blended whisky is [40-50] per cent (by value) with an increment of around [0-10] per cent (table 1). This is not so low as to rule out potential concerns over unilateral effects.²⁷
77. The parties submitted that Diageo's main brand in the off-trade is Bell's and that the increment from W&M is small and will not significantly reduce the number of major brands. They noted that in the off-trade there will remain a significant number of third-party brands including The Famous Grouse, Teacher's and High Commissioner. They also argued that there is a range of evidence (discussed further below) that Bell's and W&M are not close competitors.

²⁷ *Merger Assessment Guidelines*, paragraph 5.3.5

78. However, all retailers which responded to the OFT's questions referred to competition between Bell's and W&M and the majority considered that W&M competes strongly with Bell's. The majority also raised concerns due to the incremental impact over the brand competition of W&M's strong presence in private label whisky, which is considered in greater detail below. In doing so the OFT has examined:

- internal documents of the parties
- evidence on capacity constraints from the parties and their competitors
- empirical evidence, including econometric analysis, of consumer switching behaviour and changes in sales, and
- profit margin data.

Parties' internal documents

79. The parties' internal documents provided []. A Bell's brand review indicates competitive interaction between Bell's and [] in particular in the off-trade, noting that 'Bell's has a similar profile to []', tracking []'s performance on various metrics, and setting out strategies to compete against []. It also tracks the average price discount given on Bell's, [] and [].
80. However, the internal documents also point to competition between []. For example, the same document notes that []. The document shows that although [] picked up the majority [] of lost volumes, [] was the second biggest gainer, with [] of lost volumes, and [] in third with [] of lost volumes. As such, almost [] of lost sales diverted to only []. A document entitled [] notes that '[] the main brands seeing a strong increase in numbers of buyers this year' and notes that '[]' Again, the document tracks [].
81. In addition to the competition taking place between Bell's and W&M branded whisky, the parties' internal documents also suggested that [].²⁸
[]

²⁸ The OFT recognises that the competitive constraint from private label is exerted by the retailers but considers the inferences drawn remain the same, taking account of W&M supplying the retailers with the underlying product. The alternative options for retailers in the supply of private label is discussed in detail below.

82. The parties' internal documents also suggest that the promotional activity on core brands means []. A presentation entitled [].
83. In general, it appears from the parties' internal documents that competition between the parties' brands []. The documents also point to [].

Capacity constraints

84. The OFT considers that the competitive constraint that third party brands exert on the parties (as well as the constraint that the parties exert on each other) may be limited by the extent to which a supplier can increase the sales of its brands. Blended whisky can take many years to produce. The minimum amount of time it has to be aged for is three years but some brands may need longer due to age statements on their bottles. Whisky producers therefore forecast how much they need to produce many years in advance (albeit they can subsequently source on the bulk market).
85. In their submission, the parties estimated spare capacity across the existing seven grain distilleries of approximately [] million litres per annum (mla). They further submitted that competitors could expand existing grain distilleries or create new ones if the need arose. However, competing whisky producers have noted that they are at or close to full capacity in the production of whisky (discussed further in detail below under entry and expansion). To increase their stock of aged whisky without a long lead-time, whisky producers may be limited to purchasing specific combinations of the bulk liquid, in which the parties have a particularly strong presence. As discussed further below, this may be costly and difficult. The OFT notes that besides growing their whisky inventories, there may be other ways for producers to increase their supply in the UK. In particular, they could choose to sell more whisky in the UK and less overseas. However, suppliers have indicated that they may be reluctant to do this given the growing nature of some of these overseas markets and the higher profit margins they could earn overseas. The OFT notes that the competitive constraints imposed by third-party brands may therefore be limited.

Empirical evidence on the closeness of competition

86. Notwithstanding the capacity issues noted above, the OFT considers it probative to assess the closeness of competition between the parties and third-party brands. The OFT assesses below empirical evidence on the extent to which customers would switch from each of the parties' key

brands to other competing products including those supplied by the other merging party.

87. The OFT notes that this data is based on end-consumer switching and that there may be differences in the scope for retailers to switch. However, retailers explained that their purchasing decisions are broadly driven by end-consumer preferences. The OFT therefore considers the analysis of end-consumer behaviour to be suggestive of the constraints the parties face in supplying off-trade customers.
88. In particular, end-consumer switching evidence can help understand why off-trade customers are concerned about having a weaker negotiation position post-merger. The parties' increased negotiating strength depends, in part, on the extent to which retailers would switch from one of the parties' products to the other's. As this is driven to some extent by switching of end-consumers, evidence on their behaviour is useful.

Loss of competitive constraint on Bell's and Whyte & Mackay

(A) Consumer panel switching data

89. The parties submitted analysis on how consumers of their brands switch their spend between brands over a two-year period. The table below shows the results of this analysis with respect to sales 'lost' from Bell's and W&M to other brands on this basis according to data from two separate sources.

Table 2 Losses from Bell's to other brands (off-trade)

Shifts to:	Percentage of Bell's losses (Nielsen data) (%)	Percentage of Bell's losses (Dunnhumby²⁹ data) (%)
W&M	[15-25]	[0-10]
Famous Grouse	[20-30]	[45-55]
Grant's	[0-10]	[5-15]
Teachers	[0-10]	[0-10]
High Commissioner	[0-10]	[]
Private Label	[20-30]	[10-20] ³⁰
All other	[0-10]	[0-10]
Losses Total	100	100.0

Source: Nielsen and Dunnhumby

²⁹ Dunnhumby data is drawn from Tesco only

³⁰ Refers to Tesco private label

Table 3 Losses from branded W&M to other brands (off-trade)

Shifts to:	Percentage of W&M's losses (Nielsen data) (per cent)	Percentage of W&M's losses (Dunnhumby data) (per cent)
Bell's	[15-25]	[15-25]
Famous Grouse	[20-30]	[30-40]
Grant's	[10-20]	[10-20]
Teachers	[0-10]	[0-10]
High Commissioner	[0-10]	[]
Private Label	[20-30]	[10-20]
All other	[5-15]	[0-10]
Losses Total	100.0	100.0

Source: Nielsen and Dunnhumby

90. In previous cases, the OFT has found this type of data can be helpful in assessing the degree of interaction between brands in certain consumer goods categories.³¹ However, the OFT is conscious that the data does not disentangle the various reasons that may have motivated any switching activity and, as a result, it may not necessarily associate the degree of switching with any measure of the relative substitutability of different brands.³²

91. The data show that []. This evidence suggests that the parties are close competitors, consistent with the qualitative evidence discussed above.

(B) Parties' price promotion analysis

92. The parties provided the OFT with weekly grocery retail level scanner data on the volume and value of sales in whisky of the four major grocery retailers in the UK. This was broken down by brand and by retailer and covered the period October 2009 to November 2012. They used this data to identify periods when either Bell's or W&M were the only whisky brands on promotion.

93. Given that the data did not specifically note when brands were on promotion, they defined promotions for each of the parties' brands as periods where the average per litre price at a particular retail outlet fell below 75 per cent of the maximum price of a brand in that retail outlet in the same year. As price events occurred regularly, they based their analysis

³¹ See, for example, *Anticipated acquisition by Unilever of Alberto Culver*, OFT, 5 April 2011.

³² The OFT notes, for example, that recorded switching activity could be motivated by changes in relative prices but could instead reflect different household composition and a number of other factors.

on the most recent price event at each of the four major grocery retailers that met the following criteria:

- The price of the brand being analysed falls by 15 per cent week-on-week.
- No other key competitor brand experiences a price decrease or increase of greater than 15 per cent in the same or previous week.

94. The parties argued that the results of this analysis do not suggest that the parties' are close competitors relative to other brands. They argued that []. They argued that sales that W&M captured from rivals were most regularly taken from []. They also argued that W&M promotions did not disproportionately affect Bell's sales.
95. At face value, the parties' analysis supports their submission that they are not close competitors. However, the weight the OFT can place on it is limited due to a number of weaknesses in the approach. It is only based on one 'promotional event' at each supermarket and does not fully control for the price changes of other brands or any other factors that may have affected demand during the time period. Other 'promotional events' (including different definitions of what such an event is) may lead to different results, thereby reducing the robustness of a single one.

(C) OFT's empirical analysis

96. In light of the parties' attempts to estimate the closeness of substitution between the parties' and competing brands using consumer level data and the OFT's concerns over the probative value of such analysis, the OFT has used the same scanner data submitted by the parties to estimate the relationship between the prices and sales of the parties' brands and those of their main competitors in blended Scotch. The OFT used econometric regressions to estimate these relationships, to estimate a demand system and to understand the closeness of competition between the parties' products.³³

³³ The OFT's demand estimation involved a technique known as an Almost Ideal Demand System or an AIDS model. Alternative estimation techniques were also used and were broadly consistent with the AIDS results. The OFT followed a similar approach to that of the Competition Commission in its merger inquiry in *A.G. Barr/Britvic* (July 2013) and refers the reader to the CC's report in that case for full details of the methodology used. The OFT has carried out the analysis pooling data for all supermarkets (unpooled data was also analysed) and focusing on the parties' core whisky and vodka brands and main competitors. For whisky the OFT considered the following brands: Bell's Original, The Famous Grouse, Private Label, Grant's Family Reserve, Whyte and Mackay and Teacher's Highland Cream. For the

97. The OFT analysis – using all methodologies – was shared with the parties at an early stage of the investigation to allow them to comment and respond. The parties then undertook their own modelling work and the OFT has taken on board some of the comments made by the parties. The final modelling results reflect this engagement with the parties.³⁴ The OFT notes that its empirical analysis is broadly consistent with the other evidence above on closeness of competition between the parties' products.
98. The OFT used these empirical relationships to estimate the diversion ratios between the parties' (and rival) brands, that is the proportion of sales lost by each of the party's brands when their prices go up that is lost to other brands and private label whisky, assuming no capacity constraints.³⁵
99. The results of the OFT's adjusted empirical analysis show that the diversion from W&M to Bell's is [15-25] per cent. The diversion from W&M to other brands is lower ([10-20] per cent to The Famous Grouse and [10-20] per cent to Grant's with no evidence of significant switching to Teacher's). The OFT considers that this points to Bell's being the closest competitor and most significant competitive constraint to W&M.
100. Further exacerbating this, the diversion from W&M to private label is even higher at [25-35] per cent, and as noted previously, W&M supplies the majority of this private label whisky. This means that the loss to W&M is minimised by sales that are re-captured by its private label supply. While this effect applies absent the merger, the significant increase in recaptured sales, as a result of the increment of Bell's to the parties' portfolio, suggest the possibility for unilateral effects to arise as a result of the merger.

analysis of vodka we have considered instead: Private Label, Smirnoff Red Label, Glen's, Russian Standard, Vladivar Classic, Red Square.

The analysis estimates own-price and cross-price elasticities which provide the responsiveness of a product's quantity demanded to a change in the product's own price or a rival's price (respectively).

³⁴The parties incorporated into the OFT's model:

- the constraint from a budget brand at each supermarket, in particular High Commissioner
- a stronger constraint from outside goods, such as other blended Scotch whisky, malt Scotch whisky, non-Scotch whiskies and other spirits, and
- asymmetry in the relationship between the prices and sales of different brands.

The OFT accepted the inclusion of a budget brand and has also taken greater account, albeit to a limited extent, the constraint from outside goods. However, the OFT has maintained its symmetry restriction as ultimately it concluded there was insufficient evidence to support lifting this restriction.

³⁵ Specifically, the OFT took the same approach as out in the CC's Decision in Barr/Britvic, Appendix C, Annex 2, paragraph 3, to turn elasticity estimates and the volumes sold of a given brand into diversion ratios.

101. Diversion from Bell's to W&M (branded) is low at [0-10] per cent, which is less than that to other brands, including Famous Grouse ([15-25] per cent) and Grant's ([10-20] per cent). However, this takes no account of the diversion from Bell's to private label, in which W&M has a strong presence. The diversion ratio to private label is estimated to be [10-20] per cent. Given W&M's position in private label as explained above, Diageo may be expected to re-capture a significant proportion of sales lost from Bell's.³⁶

(D) Profit margins and pricing incentives

102. The OFT generally considers that if the variable profit margins of the products of the merging parties are high, unilateral effects are more likely to arise as a result of the merger.³⁷ The incentive to raise price in part depends on the value (profit margin) of the sales recaptured by one party from the other.

103. The parties provided the OFT with profit margin data across their different brands, which indicated that the variable profit margin of Bell's is around [10-20] per cent, and that the profit margin of W&M is around [0-10] per cent for its W&M brand and [0-10] per cent for its private-label blended Scotch.³⁸ The OFT notes that these profit margins are low largely as a result of duty on alcohol being included as a variable cost leading to lower profits as a percentage of this after-tax price. By excluding duty from variable costs, the variable profit margins are [] times higher.³⁹

104. The OFT is more concerned about the incentive of Diageo to raise prices of W&M than Bell's. This due to Bell's earning a higher variable profit margin

³⁶ While the sales are captured by the supermarkets in the first instance, Diageo may still be expected to benefit from those sales through the retailer, given its presence in private label supply. The captured sales by the retailer are not independent of the upstream position of W&M, particularly given the extent of W&M's position in the supply of private label.

³⁷ *Merger Assessment Guidelines*, paragraph 5.3.2

³⁸ The OFT notes that the variable profit margin, based on accounting data, may be subject to interpretation and limitations. In particular, the OFT considers a narrower interpretation of variable costs, and a shorter time period for estimating variable costs, may be appropriate, and so the variable profit margins submitted by the parties may be an underestimate. Nevertheless, the OFT has used the variable profit margins provided by the parties as a starting point for the purposes of its assessment.

³⁹ The OFT notes that a profit margin as proportion of prices including tax gives some indication of a price rise as a proportion of that tax-inclusive price. However, such a price rise may not reflect the loss of competition as the parties are not competing over the duty portion of the price, which is determined exogenously. The OFT's focus is on the effect of the merger on competition and the loss of rivalry between the merging parties. It is therefore important to consider specifically what the parties compete over. While this may be considered in calculating margins, it can also be considered in interpreting the OFT's reference test, which relates to a substantial lessening of competition such that a very low percentage overall price (including tax) rise may actually involve a significant loss of competition.

than the W&M brand. That is, any gains in recaptured sales, through the higher Bell's profit margin, may offset to a greater extent the lost profit from the decline in W&M sales making a price rise of W&M more profitable. Moreover, any loss in sales from an increase in the price of W&M post-merger will be offset by the parties' private label products recapturing additional sales, although this is not merger specific.

105. The OFT considers, in the context of the other evidence above, that the combination of the diversion ratio evidence and the profit margins indicate that the change to incentives brought about as a result of the merger may be significant and the potential risk of unilateral effects appears high, in particular with respect to W&M's competitive offer. This is exacerbated further by the limited ability and incentive of other third party brands to increase their supply of whisky in UK retail. In relation to the loss of competition between the parties' brands, the views of third parties, corroborated by internal documents, also indicate that the potential risk of unilateral effects appears high.

Private-label Scotch whisky to UK retail (off-trade) customers

106. A significant number of third parties raised the concern that the parties would restrict the supply and/or increase prices of private label blended Scotch whisky. While the parties do not overlap in private label supply, their ability and incentive to deteriorate the competitive offering of private label may have materially changed as a result of the merger, as post-merger the parties may gain more from doing so through incremental branded sales.

Retailers' ability to switch to alternative private label suppliers

107. The OFT considers that unilateral effects are more likely where the merger eliminates a significant competitive force in the market or where customers have little choice of alternative suppliers.⁴⁰ The parties estimated that W&M has a [60-70] per cent share of supply in private label blended Scotch in the UK (and [60-70] per cent across all private label Scotch in the UK). The parties argued that there are a number of alternative suppliers of bottled private label products including []. They believed that all these firms had current commercial arrangements for the supply of private label Scotch and/or have participated in bids to win such contracts for the major retailers.

⁴⁰ Merger Assessment Guidelines, paragraph 5.4.12

108. The parties further submitted that there is significant spare capacity of grain whisky which would more than cover the entire demand for private label supply in the UK (approximately [] nine litre cases per year, equating to [] mla). They submitted that this substantially exceeds the amount of private label products supplied by W&M (approximately [] nine litre cases per year, equating to [] mla).
109. The parties claimed that retailers could easily switch to the alternative suppliers discussed above. In support of this, they provided details of tenders won and lost by W&M in the supply of private label Scotch. According to these data, W&M has competed with [] and may have competed against [] and [], with []. In addition, the parties believe that [] have switched suppliers from W&M to either [] or [].
110. However, the OFT's market testing found little support for the parties' submissions on private label. Retailers did confirm that William Grant, Burns Stewart, La Martiniquaise and Ian Macleod were potential suppliers of private label whisky. However, the OFT's market testing also indicated that certain whisky producers do not and will not supply private label whisky. One of these competitors explained that some suppliers with strong brands would not supply private label as they could earn higher profit margins from branded sales and increased private label sales could cannibalise their branded sales.
111. Retailers further explained that they consider the alternative suppliers of private label whisky do not have sufficient capacity to meet all their demand, corroborating the submissions of rival suppliers themselves. In this respect, retailers noted that their suppliers needed to have sufficient volumes to supply their specific private label products and they could not use two suppliers for one product as this would result in noticeable inconsistencies in the taste from bottle to bottle.
112. As discussed in paragraph 119, there is limited potential for suppliers to quickly expand their operations or for new players to enter the market. In any event, [].
113. Third parties explained that most private label suppliers are very small, such as Burns Stewart (with one retailer estimating this only supplied three per cent of UK private label supply). Third parties also considered that some suppliers will not be viable for at least three years due to capacity issues. For example, one customer said that one supplier did not have

sufficient capacity to supply them last year, and were only now in a position to do so. It also submitted that only W&M was willing to vary the malt content for its different private-label blends. Another customer noted that two other suppliers it had considered using could not compete on price with W&M or guarantee the volumes required.

114. Based on W&M's high share of private label supply, the limited number of other competitors and the limited scope for these competitors to replace W&M's volumes in private label, the OFT considers that retailers would have limited scope to switch to other private label suppliers. Below the OFT therefore considers to what extent they would switch to branded Scotch if W&M were to increase its private label prices (or reduce the volumes it supplies).

Switching to branded Scotch

115. The OFT considers to what extent the parties will be in a stronger negotiating position with retailers post-merger by having a significant presence in both branded and private label whisky. The OFT further notes that where the products of the merger firms are close substitutes, unilateral effects are more likely because the merged firm will recapture a significant share of the sales lost in response to the price increase, making the price rise less costly.⁴¹
116. As noted above, competitors explained that where a producer has strong brands, such as Bell's, it may have limited incentives to supply private label whisky. Third parties more generally explained that if private label supply falls or its prices increase, there is scope for branded whisky to also raise prices.
117. The OFT's empirical analysis based on retailer scanner data (discussed above) supports these third party comments. It shows that Bell's would be the brand in the strongest position to benefit from a weaker private label constraint with diversion from private label to Bell's being [20-30] per cent.
118. The OFT also notes the fact that profit margins are higher on Bell's in comparison to W&M's private label sales strengthens the incentive of the parties to undertake a strategy of reducing private label supply or

⁴¹ See *Merger Assessment Guidelines*, paragraph 5.4.9. Such analysis would also apply to the interaction between the parties' branded products and W&M's private label supply, even though it is the retailer's private label that is actively competing, as the retailer's supply will be dependent on W&M and the availability of alternative suppliers.

increasing prices. The OFT considers that Diageo would be in a strong position to minimise any losses made on private label, as it could use the underlying liquid it no longer uses in private label in its own branded products. Diageo's incentive to reduce private label supply may also be strengthened by opportunities to use the liquid to support the growth of its brands globally.

Entry and expansion

119. Entry or expansion of existing firms can mitigate the initial effect of the merger on competition, and in some cases may mean that there is no substantial lessening of competition. In assessing whether entry or expansion might prevent a substantial lessening of competition, the OFT considers whether such entry or expansion would be timely, likely and sufficient.⁴²

Timeliness of entry and expansion

120. Blended whisky is made up mostly of grain whisky by volume. The parties estimated spare capacity across the existing seven grain distilleries of approximately [] mla. They further submitted that competitors could expand existing grain distilleries within a matter of [] depending on the nature of expansion. They submitted various examples of increases in grain distilling capacity, including the new facility built by La Martiniquaise and expansion by Diageo, North British and William Grant. The parties did not have information on how quickly this entry or expansion occurred, however they estimated that planning and constructing a new grain distillery from scratch would take between [] and [].

121. However, third parties explained that their distilleries were at full production capacity on the basis of a 24/7 shift. Some competitors explained that increasing their capacity significantly would require the construction of a new distillery. They provided evidence of the costs of building a new distillery which confirmed that the costs are very significant, and in excess of £50 million. One competitor explained it would take three years to do this. Where expansion of an existing distillery is possible, third parties []. Competitors noted that it could take one to three years to expand capacity or two to three years to complete a new distillery, with a minimum of a further three years for the new spirit produced to reach the legal classification of Scotch whisky. In general, grain whisky producers

⁴² *Merger Assessment Guidelines*, paragraphs 5.8.1 to 5.8.3.

explained that they were not in a position to increase their bulk supply of whisky.

122. Retailer responses show that they do not have long-term contractual protection in their contracts with private label suppliers, with suppliers typically having flexibility to change prices and volumes within a few months. With specific regard to private label Scotch supply and the contractual arrangements between suppliers and retailers in this area, the OFT considers that entry would not generally be timely. This is because the new grain whisky resulting from entry or expansion would not become usable for some four to six years (one to three years to expand, plus three years for stocks to reach legal classification). []

Likelihood and sufficiency of entry and expansion

123. While there is potential for some degree of timely expansion, as noted above, the OFT considers that this entry is not sufficiently likely. The one third party which indicated it could quickly increase capacity explained that it would be interested in increasing its private label supply but that it would not want to do so to the detriment of other opportunities.
124. More broadly, the OFT found no evidence that whisky producers were planning on increasing their capacity and no evidence of plans to increase grain whisky output at all. With regard to the use of the liquid in bottled products, all but one third party indicated that expansion was driven by growth in brands, rather than a desire to produce more private label supply. As noted above, third parties with strong brands indicated limited interest in supplying private label products even if W&M reduced its supply due to the higher profit margins they could earn from branded sales.
125. In assessing the likelihood and sufficiency of entry into the downstream supply of bottled blended Scotch whisky, the parties focused on entry or expansion at the bulk grain level (for example, in the form of new or expanded production facilities, rather than new entry at the downstream retail level). They pointed to costs of a new grain distillery being around [].
126. In relation to new entry or expansion at the retail level, third parties explained that in whisky there were a limited number of distributors that could take on a new brand of that spirit as most already had their own or had an exclusive arrangement with a third-party whisky brand. They considered that distributors would demand onerous terms, noting that the

largest, [], had a 'one-in two-out' policy when it came to distributing new brands. Points made specifically on why new entry in whisky was not likely were the steady decline in the UK of Scotch whisky, and difficulty in getting access to aged Scotch whisky. Existing suppliers have indicated that they would be reluctant to divert overseas sales of bottled products to the UK, given the growing nature of some of these overseas markets.

127. Taking the evidence in the round, the OFT considers that expansion (or entry) of competitors in the branded or private label supply of whisky would not be timely, likely or sufficient to mitigate its concerns.

128. Accordingly, the OFT does not consider the evidence on the prospect of entry and expansion as sufficiently compelling to prevent a substantial lessening of competition arising in this case.

Countervailing buyer power

129. In some circumstances, an individual customer may be able to use its negotiating strength to limit the ability of a merged firm to raise prices. The OFT refers to this as countervailing buyer power.⁴³

130. The parties submitted that they are constrained by significant countervailing buyer power of their major retailer customers in the off-trade channel in respect of bottled Scotch. They noted the Commission's conclusions that the off-trade is characterised by powerful customers with significant purchasing power.⁴⁴ The parties submitted that a number of these retailers have on previous occasions threatened to delist various Diageo products ([]) and noted that [] has recently destocked the []. The parties also noted that [].

131. However, retailers' views were mixed on the extent of buyer power they possess, particularly in respect of the parties' major brands. Retailers informed the OFT that destocking decisions were typically taken in respect of product lines with poor sales and lack of profitability, rather than the core brands (Bell's and W&M) where the OFT has downstream concerns. All the major retailers which responded to the OFT considered these were 'must stock' and could not provide the OFT with any examples where they had destocked or substantially reduced their purchases of these brands. Nor did retailers consider that this would be a viable option for them. One

⁴³ *Merger Assessment Guidelines*, paragraph 5.9.1

⁴⁴ *Pernod Ricard/V&S and Pernod Ricard/Diageo/Seagram*.

major retailer told the OFT that reducing purchases of Bell's or W&M would substantially weaken their negotiating strength in relation to Grant's and The Famous Grouse. Another retailer noted it was 'totally reliant' on purchases of the core Diageo/W&M brands listed above and another noted that '[it] must have them on [its] shelves.'

132. Retailers also considered that they lacked buyer power in negotiations over own label products. They pointed to the limited number of suppliers and lack of switching options. One retailer submitted that if Diageo increased prices on private label whisky or decided not supply, there would not be enough time or capacity in the market to find another supplier within a short period of time. Another said that it had 'no option but to source, at the very least, a substantial proportion of our own label whisky from W&M'. It considered that any withdrawal of supply would only strengthen Diageo's negotiating position in relation to retailers as demand on bottled blended whisky as a whole would outstrip supply, as a result of which Diageo could increase the cost price of its branded whiskies.

133. The OFT considers that a customer's negotiating strength will be stronger if it can easily switch its demand away from the supplier, particularly if there are several alternative suppliers to which the customer can credibly switch or the customer has the ability to sponsor new entry. In this case, the OFT considers the evidence suggests the parties supply strong brands and there are limited alternatives to switch away from the parties in both branded (less so as a result of the merger) and private label supply, as outlined above, and thus limits the scope for countervailing buyer power.

134. Given the third party views summarised above, and considering that the brands and products which may benefit from a substantial lessening of competition are those where the retailers have indicated their bargaining power is limited, the OFT considers, based on the evidence available, that retailers in the off-trade would not be able to use their negotiating strength to limit the ability of the merged firm to raise prices.

Conclusion on bottled blended Scotch whisky in the off-trade

135. Given the evidence discussed above, the OFT considers that there is a realistic prospect of a substantial lessening of competition in the supply of blended whisky in the UK off-trade based on the loss of the competitive constraint on Diageo's Bell's brand from private label blended Scotch whisky and on W&M branded bottled blended Scotch whisky from Bell's.

Bottled blended Scotch whisky in the UK on-trade

136. Diageo supplies two blended Scotch whisky brands with on-trade customers, Bell's and Johnnie Walker. They overlap with the W&M brand in the on-trade.⁴⁵
137. The parties have a [50-60] per cent combined share in the supply of blended Scotch in the on-trade customer segment in the UK. While this is higher than in the off-trade (discussed below), the increment from W&M is smaller at [0-10] per cent.
138. No third parties raised concerns about unilateral effects in blended Scotch whisky in the off-trade segment. They referred to strong competition from the Famous Grouse, and to a lesser extent, Teacher's. No on-trade customers considered the parties to be each other's closest competitor in Scotch. They considered the relatively small role of W&M would mean that the merger would have no effect on their negotiating strength with the parties.
139. The parties also argued that Johnnie Walker and W&M are not close competitors. They explained that W&M is towards the budget end of the whisky segment, whereas Johnnie Walker is positioned at the premium end. They submitted that Johnnie Walker competes primarily with [], and that W&M competes primarily with [].
140. The OFT considered the internal documents submitted by the parties. The [] showed that in the UK it compared Johnnie Walker with []. They also pointed to a blended pricing chart, which pointed to a significant difference in the price point per 25ml of [].
141. In relation to Bell's, the parties submitted that [] was its closest competitor in the on-trade. In support of this they noted that in England and Wales where Bell's had a larger on-trade share, W&M had a smaller share. In Scotland they noted that the opposite was the case. Across Great Britain they noted that [] had a large share. The parties submitted that this geographic differentiation meant there was little scope for the parties' brands to recapture lost sales from each other in the on-trade.
142. The parties submitted CGA stocking data which showed that of the on-trade outlets that replaced Bell's, [] replaced it in the largest number of cases ([40-50] per cent). This was followed by [] ([five -15] per cent) and

⁴⁵ Note that W&M is not a significant supplier of private label to on-trade customers, nor is there evidence of private label being a significant constraint in the on-trade.

then [] ([0-10] per cent). [] and [] each replaced Bell's in [0-10] per cent of cases.

143. The OFT notes that there are no customer concerns in this segment. The data received by the OFT during the course of its investigation and discussed above indicates that the parties do not exert a significant constraint on each other.

Conclusion on horizontal unilateral effects in blended bottled Scotch whisky in UK on-trade

144. Based on the evidence discussed above, the OFT considers that there is no realistic prospect of a substantial lessening of competition in the supply of bottled blended Scotch in the on-trade segment.

Malt Scotch whisky (all customer segments)

Horizontal effects

145. As in blended whisky, the OFT provides the UK shares of supply in malt Scotch in the table below in order to provide an overview of the key brands and distributors. The OFT notes that the parties' combined share across all segments is [20-30] per cent with an increment of [0-10] per cent. The parties' combined shares are [30-40] per cent in the on-trade and [20-30] per cent in the off-trade.

Table 4 UK supply of malt whisky (2012)

Distributor	Example brands	All segments (by volume)	On-trade (by value)	Off-trade (by value)
Diageo	Talisker, Singleton	[10-20]	[20-30]	[10-20]
W&M	Jura, Dalmore	[0-10]	[0-10]	[5-15]
Merging parties combined		[15-25]	[30-40]	[20-30]
First Drinks	Balvenie, Glenfiddich	[15-25]	[10-20]	[20-30]
Moet Hennessy	Ardberg, Glenmorangie	[5-15]	[5-15]	[10-20]
Maxxium	Laphroaig, Macallan	[5-15]	[25-35]	[5-15]
Pernod Ricard	Aberlour, Glenlivet	[0-10]	[0-10]	[10-20]
Inver House		[0-10]	[0-10]	[0-10]
Glen Moray/La Martiniquaise		[0-10]	[0-10]	[0-10]
Cellar Trends/Morrison Bowmore	Bowmore Legend	[0-10]	[0-10]	[0-10]
Burn Stewart	Bunnahabhain, Tobermory	[0-10]	[0-10]	[0-10]
Glenfarclas Distillery		[0-10]	[0-10]	[0-10]
Invergordon Dist		n/a	[0-10]	[0-10]
Gordon & Mcphail	Old Pulteney	n/a	[0-10]	[0-10]
Private label		In others	n/a	[0-10]
Others		[15-25]	[0-10]	[0-10]
Total		100%	100%	100%

Source: IWSR 2013, AC Nielsen data (Oct 11 to Oct 12)

146. The share table shows that there are a large number of malt whisky suppliers in both the on-trade and off-trade including large distributors such as First Drinks, Maxxium, Moet Hennessy, and Pernod Ricard as well as smaller suppliers such as Cellar Trends, Burn Stewart, Invergordon and Gordon & Mcphail.

147. The parties submitted that [].

148. Internal documents submitted by the parties support their submission that [].

149. Very few third parties referred to the parties' malt brands competing with each other. One retailer referred to Talisker (owned by Diageo) and Jura (owned by W&M) being each other's closest competitor. However, another retailer explained that there was no closely competing product to either Talisker or Jura. Another retailer noted that Jura and Talisker were from a

similar region but it was difficult to tell if they compete with each other. A fourth considered Glenfiddich and Balvenie to be key competitors against Singleton, and Bowmore and Ardbeg to be key competitors against Jura. An on-trade customer referred to Highland Park competing with both Jura and Singleton. Generally, competitors referred to a wider range of malt brands competing with the parties' malts. No third parties expressed competition concerns in relation to malt whisky.

Conclusion on horizontal unilateral effects in bottled malt Scotch whisky

150. The OFT considers that there is not a realistic prospect of a substantial lessening of competition in the supply of malt Scotch whisky to the on-trade, off-trade or travel retail.

Bulk supply of Scotch whisky

151. The OFT focuses on the bulk supply of grain Scotch whisky as there are a limited number of grain distilleries (seven) in comparison to the large number of malt whisky distilleries in Scotland. The parties provided production capacity share estimates based on the Scotch Whisky Industry Review (SWIR) 2012, an independent research report which the OFT has combined with other data from third parties on their actual supply. This suggests the parties have a [40-50] per cent share of production capacity in the production of grain Scotch whisky, taking into account [].

Table 5 Production of Scotch whisky – capacity of grain distilleries

Distillery owner	Distillery name	Total capacity (litres of alcohol)	Percentage of industry total
Diageo	Cameronbridge	[]	[20-30]
W&M	Invergordon	[]	[0-10]
Lothian Distillers (Edrington/Diageo)	North British	[]	[10-20]
Merging parties combined ⁴⁶	As above	[]	[40-50]
[]	[]	[]	[]
[]	[]	[]	[]
[]	[]	[]	[]
[]	[]	[]	[]
Total	7	[]	100%

Source: SWIR 2012, parties, third parties

152. Competitors provided similar estimates of the parties' combined share in grain Scotch whisky production, based on the same SWIR data that the parties provided.

153. The parties also provided their best estimates of the external supply (that is excluding whisky used in a distiller's downstream operations) of each of the seven grain whisky distilleries in the UK (no independent data is available). This and the resulting shares of supply are set out in the table below. This suggests the parties' share of supply in this area is around [20-30] per cent. However, a significant proportion of W&M's third party sales are sales made to Diageo.

⁴⁶ []

Table 6 Sales of bulk grain whisky (2013)

Seller	Grain Sales (mla)	Market Share (%)
Diageo	[]	[10-20]
W&M	[] ⁴⁷	[15-25]
Merging parties combined ⁴⁸	[]	[20-30]
North British (Diageo/Edrington)	[]	[10-20]
Loch Lomond	[]	[0-10]
William Grant	[]	[40-50]
La Martiniquaise	[]	[0-10]
Total	[]	100

Source: Parties

154. One competitor estimated the parties' combined share to be around [30-40] per cent, but suggested a higher increment of [20-30] per cent from W&M. Another competitor considered the three main third party suppliers of bulk grain whisky to be Grant's (supplying [] million litres or [35-45] per cent of external supply), W&M ([] million litres/[20-30] per cent) and North British ([] million litres/[20-30] per cent). Diageo and W&M appear to be two of five independent grain producers that supply third parties. The others are William Grant, Loch Lomond and La Martiniquaise, with William Grant being the largest and the latter two being smaller suppliers.

155. []

156. The OFT considered whether the parties would have the ability and incentive to restrict the supply and/or increase the prices of bulk grain Scotch whisky to third parties. A number of third party customers of bulk whisky raised concerns about their procurement of Scotch grain whisky. Some downstream customers also raised concerns about the parties' overall position in the production of whisky, most notably in grain. These third parties were all concerned that they would be in a weaker negotiating position post-merger.

157. Some whisky producers also suggested that W&M was a key supplier of bulk grain to third parties. The key basis for producers' concerns was the parties' perceived overall position in terms of control of capacity and supply

⁴⁷ []

⁴⁸ []

of grain whisky. They noted that price of grain whisky is closely linked to its availability and the availability of grain. Whisky producers' concerns were also related to their understanding that currently almost all grain distilleries in the UK are operating at full capacity and that expansion would entail significant costs.

158. The parties argued that there was no scope for unilateral effects in the supply of bulk whisky to third parties. First, they noted that []. They estimated that once this cross-trading was removed, as it would be internalised post merger, their share of supply was approximately [20-30] per cent.⁴⁹
159. The OFT notes that third parties' estimates of W&M's bulk supply were substantially higher than the data on supply provided by the parties, and that the actual quantity supplied to third parties (once quantities supplied to Diageo are discounted) is only [] mla out of total industry sales of [] mla to third parties post-merger.
160. The parties submitted that there were also a number of significant suppliers of bulk grain whisky, and that these alternative suppliers had some existing spare capacity, could expand capacity or build new distilleries. The parties submitted that W&M has lost business to []. Although the OFT received evidence of other suppliers being active in supplying third parties, the OFT did not find any evidence that they currently had spare capacity. Generally competitors considered that expansion or entry was not likely in the bulk supply of whisky. []
161. The parties further noted that both Diageo and W&M swap grain whisky for malt and other whiskies in order to achieve the correct blends for the products they supply. They argued that this reliance on third parties meant they would not be able to negotiate better rates in such instances.
162. With regard to cash sales, the parties stated that they sold the large majority of their volumes under []. Similarly, they explained that []. The OFT notes that in some contracts to supply bulk whisky there is some flexibility to vary price as well as to terminate the contract early. The OFT has therefore not relied on this contractual protection in its assessment.

⁴⁹ []

Conclusion on horizontal unilateral effects in the bulk supply of grain whisky

163. The OFT does not consider that there is a realistic prospect of a substantial lessening of competition as a result of horizontal effects of the merger in the bulk supply of grain whisky. This is primarily due to the small increment from W&M in bulk supply and no compelling evidence that significance of W&M is greater than its share of supply would suggest. There will be at least three competitors that continue to constrain the parties, [].

VERTICAL EFFECTS

Bulk grain whisky

164. The OFT also considered the possibility that the parties may have the ability and incentive to foreclose their downstream competitors from bulk grain whisky, as a result of some customers of bulk whisky being active as competitors to the parties downstream. Diageo currently supplies [] and W&M currently supplies []. Both have strong blended whisky brands, namely [] respectively that compete strongly with Diageo, [] both in the UK and on a more global basis.

165. However, as discussed above, the merged entity will have a total share of third party supply of only [20-30] per cent by volume. A market share for the merged firm of less than 30 per cent will not often given the OFT cause for concern over input foreclosure⁵⁰.

166. The parties argued that the presence of alternative suppliers and their reliance on bulk whisky from other producers means that foreclosure concerns do not arise.

167. Given that Diageo could expect increased sales of both Bell's and Johnnie Walker as a result of reducing the sales of these brands, it may have some incentive to foreclose them. However, the OFT considers that this incentive is not changed by the merger. As discussed above, the increment in third party supply attributable to W&M is small, and both parties already have brands to which they could divert third party supply if they did in fact have the ability to do so. The fact that both parties currently supply third parties⁵¹ (even when Diageo is itself purchasing extra grain whisky) may indicate that they have no ability to engage in the type of foreclosure

⁵⁰ *Merger Assessment Guidelines*, paragraph 5.3.5

⁵¹ []

strategy discussed here. In particular, as part of Diageo's supply [], the OFT considers that Diageo may not be in a position to withdraw this supply.

Conclusion on vertical effects in the bulk supply of grain whisky

168. Based on the evidence discussed above, the OFT does not consider there to be a realistic prospect of a substantial lessening of competition as a result of vertical effects of the merger in the bulk supply of grain whisky.

VODKA

169. With regard to vodka, the OFT notes that Diageo owns the leading vodka brand, Smirnoff, in both the off-trade and on-trade segments. Smirnoff competes with Vladivar, which is owned and distributed by W&M, but also with Russian Standard, which is currently distributed by W&M but owned by Roust. The OFT notes that W&M, in its capacity as distributor for Russian Standard, [].

170. The parties have submitted that [].

171. []. Accordingly, the OFT has assessed the effect the merger would have on the competitive constraints on Smirnoff as a result of Russian Standard seeking alternative distribution options to W&M post-merger, as well as from a loss of competition from Vladivar.

172. The OFT has assessed the evidence relating to the overall loss of constraint on Smirnoff, including third-party comments as well as end-consumer switching data. As explained in the market definition assessment, the OFT interprets the end-consumer switching data in vodka more cautiously as retailers have noted that private label does not constrain branded vodka.

173. Below the OFT considers whether there is scope for a substantial lessening of competition in the supply of vodka in the on-trade and off-trade.

HORIZONTAL EFFECTS

Competition between Smirnoff and Vladivar in the on-trade

Shares of supply

174. The OFT provides the UK shares of on-trade supply in vodka in the table below in order to provide an overview of the key brands and distributors. In

this segment, Smirnoff, owned and distributed by Diageo, competes with Vladivar, owned and distributed by W&M.

175. Table 7 UK On-trade vodka (by value)

Distributor (and key brands)	Share of revenues including private label (%)
Diageo (Smirnoff, Ketel One)	[60-70]
W&M (Vladivar)	[0-10]
Diageo and W&M combined	[60-70]
Bacardi (Eristoff, Grey Goose, Finlandia)	[0-10]
Pernod Ricard (Absolut, Wyborowa)	[0-10]
Booker (Chekov)	[0-10]
Maxxium (Stolichnaya)	[0-10]
Halewood International (Red Square)	[0-10]
Cellar Trends (Skyy)	[0-10]
Glen Catrine (Glens)	[0-10]
Others	[5-15]
Total	100

Source: Parties

176. In the on-trade, Smirnoff has a share of [60-70] per cent, but Vladivar only has a share of [0-10] per cent. There are other brands with shares similar to or larger than Vladivar including Absolut ([0-10] per cent), Russian Standard ([0-10] per cent), Chekhov ([0-10] per cent), Stolichnaya ([0-10] per cent), Red Square ([0-10] per cent), Skyy ([0-10] per cent), and Glens ([0-10] per cent).

177. No on-trade customer had significant competition concerns about vodka. They explained that W&M's brands were too small to have an effect on them. They also pointed to a number of other vodka brands including Absolut, Red Square and Eristoff that competed strongly in the on-trade with the parties' brands.

178. The parties' destocking analysis in the on-trade pointed to Smirnoff and Vladivar losing out to each other but also to []. Vladivar only accounted for around [0-10] per cent of Smirnoff replacements. Smirnoff accounted for around [20-30] per cent of Vladivar replacements, which is lower than Smirnoff's market share alone would suggest.

179. The OFT considers there to be no realistic prospect of a substantial loss of competition between Vladivar and Smirnoff in the on-trade. This is in

particular due to the minimal increment, the lack of third party concern, and the strong continuing constraint from other competitors.

Competition between Smirnoff and Vladivar in the off-trade

Shares of supply

180. As in whisky, the OFT provides the UK shares of off-trade supply in vodka in the table below in order to provide an overview of the key brands and distributors.

181. Table 8 UK Off-trade vodka (by value)

Distributor (and key brands)	Share of revenues including private label (%)	Share of revenues excluding private label (%)
Diageo (Smirnoff)	[30-40]	[45-55]
W&M (Vladivar)	[0-10]	[0-10]
Diageo and W&M combined	[30-40]	[45-55]
Private Label	[20-30]	-
Glen Catrine (Glen's)	[10-20]	[20-30]
W&M – Russian Standard	[0-10]	[0-10]
Halewood International (Red Square)	[0-10]	[0-10]
Pernod Ricard (Absolut)	[0-10]	[0-10]
Booker (Chekov)	[0-10]	[0-10]
Bacardi (Grey Goose, Eristoff, Finlandia)	[0-10]	[0-10]
Others	[0-10]	[0-10]
Total	100	100

Source: OFT analysis of AC Nielsen data (Oct 11 to Oct 12)

Closeness of competition between Smirnoff and Vladivar

182. Retailers did not generally consider that Vladivar was a particularly close competitor to Smirnoff. None raised concerns solely about competition between Vladivar and Smirnoff. They noted that Absolut, Red Square, Glens, Eristoff and Green Mark were brands that competed with the parties' vodka brands.

183. The OFT has carried out the same empirical analysis in vodka as it did in whisky, which suggests that potential diversion from Smirnoff to Vladivar is [0-10] per cent. Potential diversion from Vladivar to Smirnoff may be [10-20] per cent according to the same analysis. This is less than would be expected on the basis of Smirnoff's higher market share. Diversion to other competitors was significant including [] ([10-20] per cent), [] ([five-15] per cent), and [] ([25-35] per cent) – although in the case of private label the

constraint may be limited as set out in the market definition assessment above.

184. The OFT considers there to be no realistic prospect of a substantial loss of competition between Vladivar and Smirnoff in the off-trade. This is in particular due to Vladivar being a small brand, the lack of significant third party concern, and the continuing constraint from other competitors in each channel.

VERTICAL EFFECTS

185. As noted above, based on concerns raised by third parties, the OFT has assessed the effect the merger would have on the competitive constraints on Smirnoff in the off-trade and on-trade as a result of Russian Standard seeking alternative distribution options to W&M post-merger. In particular, the OFT has assessed the extent to which Russian Standard would be weakened as a result of using another distributor. In doing so, the OFT has considered the effectiveness of these alternative distribution options.
186. The parties explained that Roust appointed W&M to distribute Russian Standard from the beginning of 2012 having previously used First Drinks at its distributor for Russian Standard. They understood that []. The parties explained that they believed that [].
187. The parties submitted that there are multiple distribution options available to Russian Standard, including specialist drinks distributors such as [] and [], other spirits companies such as [] and [], major wholesalers such as [] and [], and major brewers such as [] and []. They also submitted that Russian Standard could establish its own distribution network. In support of this, they pointed to another brand, Cuervo Tequila, doing so this year.
188. Third party responses suggested that Russian Standard's effective distribution options may be more limited than the parties purport. Spirits companies which responded indicated they are typically not interested in distributing a third party vodka brand if they have their own brand to promote. The OFT also learnt that several distributors have exclusivity agreements with other vodka brands, preventing them from distributing other brands, including Russian Standard. Third parties also considered that wholesalers and brewers would not be as effective at distribution as W&M has been, particularly in the off-trade channel.

189. However, the OFT found that there were examples of distributors which did not currently distribute strong competing vodka brands and, as such, could be options for Russian Standard. For example, First Drinks does not currently distribute a strong competing vodka brand and has already been used previously by Russian Standard as a distributor. []
190. []
191. The OFT notes that W&M may appear to have been more successful at distributing Russian Standard than First Drinks, with there being a step change in the growth of Russian Standard from around January 2012. However, the change of distributor may not be the only factor driving this growth.
192. W&M's Russian Standard distribution agreement shows that []. The parties further noted that []. Russian Standard's brand growth could therefore be driven by []. This is corroborated by information submitted by third parties which indicates that [].
193. Growth could also have been driven by other factors including the brand attaining a size and level of recognition after which further growth becomes easier, or retailers' stocking decisions (for example, to actively promote Russian Standard to encourage competition). One retailer provided evidence suggesting []. The OFT notes that retailers can continue to do this irrespective of the identity of the distributor.
194. The OFT also notes that when W&M was appointed as a new distributor, the CEO of Russian Standard made a statement that 'We have been very encouraged by the significant interest shown by prospective distributors following our decision to change distributors.'⁵²
195. []. Third parties also identified a number of entry barriers to a new distributor including the need for a varied portfolio (that is, having to offer spirits other than vodka) to deal with larger customers, uncertainty that investment costs could be recouped, the difficulty of establishing brand reputation, and the ability to recruit the right calibre of management with the necessary experience.
196. The OFT considers that Russian Standard would not be significantly weakened, if at all, from using a different distributor. Using an existing

⁵² www.thedrinksbusiness.com/2011/09/russian-standard-agrees-whyte-mackay-deal

distributor with a wide portfolio such as First Drinks may be a particularly effective option. This is corroborated by the significant interest shown in Russian Standard before it changed distributor in 2012, third party information on the strength of using an alternative distributor, and [].

197. The OFT further notes that any weaker competition from Russian Standard may in any event have a limited effect on the overall constraints on Smirnoff. Most retailers considered that there was significant competition between Smirnoff and Russian Standard and four raised concerns about a reduction of competition as a result. However, retailers noted a number of other strong competitors including Absolut, Red Square, Glens, Eristoff and Green Mark. On-trade customers did not raise concerns and did not consider that the parties' brands were close competitors.
198. The OFT carried out the same empirical analysis in off-trade vodka as it did in whisky. This points to diversion from Smirnoff to Russian Standard is significantly lower than [] the diversion between the parties in Scotch whisky. The diversion from Smirnoff to Russian Standard is [five-15] per cent with similar diversion to [] ([five-15] per cent) and [] ([0-10] per cent). Diversion from Smirnoff to [] was the most significant at over [35-45] per cent. However for the reasons set out in market definition above, this may overstate the constraint from private label.
199. In the on-trade, the parties' destocking analysis in the on-trade pointed to Smirnoff losing out to Russian Standard but with significantly more Smirnoff replacements being made with [], and [].
200. This empirical evidence points to levels of diversion from Smirnoff to other brands which indicate that Smirnoff is likely to continue to face a strong competitive constraint from third party brands post-merger. This is the case in both the on-trade and off-trade. This suggests that a price rise on Smirnoff in any customer segment would not be profitable even if, hypothetically, Russian Standard were to exert a slightly weaker constraint due to a change in distributor.

Conclusion on vertical effects in bottled vodka

201. Taking all the evidence in the round, the OFT considers that the merger will lead to little effect on the competitive constraints on Smirnoff and no substantial lessening of competition from Roust switching to an alternative

distributor of Russian Standard. Given this conclusion, the OFT has not considered countervailing factors such as entry and buyer power.

RUM, LIQUEUR AND RTDs

HORIZONTAL EFFECTS

202. The parties also overlap in rum, liqueurs and RTDs. However, their combined market shares in rum, liqueurs and RTDs are low in the UK, and the increments resulting from the merger are all less than one per cent:

- i) In rum the merged entity's combined UK share is [20-30] per cent with an increment of [0-10] per cent.
- ii) In liqueurs the merged entity's combined UK share is [20-30] per cent with an increment of [0-10] per cent.
- iii) In RTDs the merged entity's combined UK share is [10-20] per cent with an increment of less than [0-10] per cent.

203. No third party expressed concerns with respect to these overlaps. Nor did they point to the parties competing closely with each other in these categories. One competitor explained that W&M's Cockspur Rum competed with Diageo's Captain Morgan in the standard dark/golden rum category. However, it also listed a number of other competitors to these brands including Appleton Special, Mount Gay, and Lamb's Navy Rum.

204. Given the lack of third party concerns, the low combined share and minimal increment of the parties in rum, liqueurs or RTDs, the OFT considers that there is no realistic prospect of a substantial lessening of competition in each of these categories.

THIRD PARTY VIEWS

205. The OFT received comments from a wide range of customers and competitors of Diageo and W&M. These third party views have been incorporated above where appropriate.

206. The majority of third party concerns related to blended bottled whisky in the off-trade. There were also some concerns in the bulk supply of grain whisky and the supply of bottled vodka in the off-trade. Customers in the on-trade did not express any concerns.

ASSESSMENT

207. In accordance with previous decisions of the OFT and the CC, the OFT has analysed the merger against a market for:

- blended Scotch whisky (bottled) including private label (for the off-trade segment only)
- malt Scotch whisky (bottled) excluding private label
- bulk grain Scotch whisky
- vodka (excluding private label, on a cautious basis)
- rum
- each type of liqueur
- RTDs.

208. The OFT has distinguished between the off-trade and on-trade segments. The OFT has adopted a UK geographic scope in bottled products, although the OFT has not found it necessary to conclude on the precise scope in the bulk supply of whisky.

209. In relation to blended bottled Scotch whisky in the off-trade, the OFT considered the possibility of horizontal unilateral effects. The OFT assessed the interaction between the Bell's brand, the W&M brand and W&M's supply of private label whisky. Econometric analysis carried out by the OFT indicates that Bell's is imposing a strong competitive constraint on W&M, and that W&M is imposing a weaker constraint on Bell's. The analysis suggested that both the Bell's and the W&M brand would experience significant levels of diversion to private label whisky, of which W&M is a major supplier. Third party comments supported this econometric evidence.

210. The OFT notes that Bell's earns a higher variable profit margin than the W&M brand, and that Diageo may therefore have an incentive to divert sales from W&M to Bell's by increasing the price of W&M. The OFT notes that any loss in sales from an increase in the price of W&M post-merger will be offset by Diageo's private label products recapturing additional sales. The OFT considers, in the context of third party views, that the combination of the diversion ratio evidence and the profit margins indicate that the change to incentives brought about as a result of the merger may be significant.

211. In blended bottled whisky in the off-trade, following third party concerns, the OFT also considered the likelihood that Diageo would cease to supply, reduce the amount supplied, or increase prices of private label whisky. W&M is currently a major supplier of private label whisky. Retailers explained that there are few alternative suppliers available to them and did not consider that these alternative suppliers would have sufficient capacity to meet all their demand. Nor did they think that this capacity could quickly be expanded. The OFT considers that retailers would have limited scope to switch to other private label suppliers.
212. Third parties explained that if private label supply falls or its prices increase, there is scope for branded whisky to also raise prices. The OFT's empirical analysis based on retailer scanner data supports these third party comments. The OFT also notes the fact that profit margins are higher on Bell's in comparison to W&M's private label sales strengthens the incentive of the parties to undertake a strategy of reducing private label supply or increasing prices.
213. Given the evidence summarised above, the OFT considers that there is a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects of the merger in the market for bottled blended Scotch whisky in the UK off-trade.
214. In relation to blended bottled Scotch whisky in the on-trade, the OFT considered the possibility of horizontal unilateral effects. No third parties raised concerns about unilateral effects in blended Scotch whisky in the on-trade segment, and no on-trade customers considered the parties to be each other's closest competitor. Data on destocking events received by the OFT during the course of its investigation also suggested the parties are not close competitors. The OFT considers that there is no realistic prospect of a substantial lessening of competition in the supply of bottled blended Scotch whisky in the UK on-trade.
215. In relation to malt Scotch whisky in the on-trade and off-trade, the OFT considered the possibility of horizontal unilateral effects. The OFT found that the parties' shares were low in this segment and the evidence did not indicate that the parties' brands were close competitors. Nor did the OFT receive any competition concerns from customers in relation to this segment. The OFT considers that there is no realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects of the merger in the market for bottled malt Scotch whisky.

216. In relation to bulk grain Scotch whisky, the OFT considered the possibility of both horizontal unilateral effects and vertical effects. The parties' overall share of production capacity is relatively high. However, the OFT found that the increment attributable to W&M in terms of actual sales to third parties other than Diageo was low, and that the parties' overall combined share of third party sales was also low. The OFT notes that []. The OFT notes further that any incentives of the parties to foreclose competitors they currently supply directly do not appear to be significantly changed by the merger. Therefore, the OFT does not consider there to be a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects or vertical effects of the merger in the bulk supply of grain whisky.

217. In relation to bottled vodka in the off-trade and on-trade, the OFT considered the possibility of both horizontal unilateral effects and vertical effects. In the on-trade, the OFT found that the parties do not exert a strong competitive constraint on each other. In the off-trade, the OFT found that the Smirnoff and Vladivar brands were not close competitors. Given this, the small increment attributable to Vladivar, and the lack of concerns about this interaction, the OFT does not consider there to be a realistic prospect of an SLC as a result of horizontal unilateral effects in the supply of bottled vodka in the on-trade and off-trade.

218. The OFT considers that Russian Standard will not be distributed by Diageo post merger and that Roust or W&M can easily and quickly terminate the distribution agreement which is currently in place. Accordingly, the OFT assessed the likelihood of vertical effects in the off-trade and on-trade arising from Russian Standard's access to other effective distributors. The OFT considers that Russian Standard would not be significantly weakened, if at all, from using a different distributor. Further, the evidence indicates that the competitive constraint currently presented by Russian Standard may be limited. Therefore the OFT does not consider there to be a realistic prospect of an SLC as a result of vertical effects in the supply of bottled vodka in the off-trade and on-trade.

219. In relation to rum, liqueur and RTDs, the OFT considered the possibility of horizontal unilateral effects. The OFT found that the parties' shares were low in all of these segments, and that the increment was minimal (less than [0-10] per cent) in all of them. Nor did the OFT receive any customer concerns in relation to these segments. The OFT considers that there is no

realistic prospect of a substantial lessening of competition in each of these categories.

220. Having found that there is a realistic prospect of a substantial lessening of competition in relation to blended bottled Scotch whisky in the UK off-trade, the OFT considered whether entry or expansion was likely, or whether customers possessed sufficient buyer power to offset the SLC.

221. In relation to entry and expansion, the OFT found that all but one producer had grain whisky available to expand its supply. []. Furthermore, the likelihood of this supply being used for private label products was not established. Generally, the OFT found that expansion or entry would take one to three years, with an additional three years required for the new spirit to reach the legal classification of Scotch whisky, such that entry would not be sufficiently timely in light of retailers' contractual arrangements with their private label suppliers. Further, suppliers indicated that entry was typically driven by growth in brands, casting doubt on entry to replace lost private label volumes resulting from a restriction of supply.

222. In relation to buyer power, the OFT found that retailers did not possess sufficient buyer power in relation to the blended bottled whisky products supplied by the parties to limit Diageo's ability to raise prices or restrict supply post-merger. Retailers submitted that the Bell's and W&M brands were must stock products. In private label, retailers pointed to the limited number of suppliers and lack of switching options.

223. Consequently, the OFT believes that it is or may be the case that the merger has resulted or may be expected to result in a substantial lessening of competition within a market or markets in the United Kingdom.

EXCEPTIONS TO THE DUTY TO REFER

224. The OFT has found that the merger gives rise to a realistic prospect of a substantial lessening of competition. The OFT has therefore considered whether any exceptions to its duty to refer apply in this case.

UNDERTAKINGS IN LIEU

225. Where the duty to make a reference under section 22(1) of the Act applies, pursuant to section 73(2) of the Act the OFT may, instead of making such

a reference, and for the purpose of remedying, mitigating or preventing the substantial lessening of competition concerned or any adverse effect which has or may have resulted from it or may be expected to result from it, accept from such of the parties concerned undertakings as it considers appropriate.

226. The OFT has therefore considered whether there might be undertakings in lieu of reference (UIL) which would address the competition concerns outlined above. The OFT's *Mergers – Exceptions to the duty to refer and undertakings in lieu of reference* states that, 'Undertakings in lieu of reference are therefore appropriate only where the remedies proposed to address any competition concerns raised by the merger are clear cut. Furthermore, those remedies must be capable of ready implementation'.⁵³

UIL to divest the Whyte & Mackay business

227. The merged parties offered an UIL to divest the entirety of the Whyte & Mackay business apart from two malt distilleries and the associated brands of those two distilleries.

228. The proposed UIL involves the sale of all of W&M's blended Scotch whisky brands including Whyte & Mackay as well as W&M's private label operations. Blended Scotch whisky products include both a grain whisky and a malt whisky. The UIL comprises the entirety of W&M's Invergordon grain distillery and associated inventory and the entirety of W&M's Jura and Fettercairn malt distilleries [] and, according to the parties, leaves W&M with surplus malt to trade. For the avoidance of doubt, the parties' proposed divestment incorporates all of W&M's existing operations and contractual arrangements (save for the two excluded distilleries) including its cooping and warehousing operations, bottling plants, sales and marketing arrangements and customer relationship teams, all procurement and supply arrangements, staff and centralised functions such as finance and HR.⁵⁴

229. The two distilleries and associated brands (and maturing inventories) which would be retained by Diageo are Dalmore and Tamnavulin. These distilleries are not generally used for the manufacture and supply of bottled blended

⁵³ Mergers - Exceptions to the duty to refer and undertakings in lieu of reference guidance, OFT1122, December 2010, paragraph 5.7.

⁵⁴ W&M's blended Scotch whiskies – whether branded or for private label – [].

Scotch whisky for private label or for W&M branded bottled blended whisky.⁵⁵

230. The proposed divestment therefore comprises the entirety of W&M's private label and branded bottled blended Scotch whisky. As such, the OFT considers that the proposed divestment would be sufficient to remedy the competition concerns identified above.

Up front buyer

231. In terms of whether the UILs are readily implementable, the OFT is concerned that the number of possible buyers could be low. A number of interested purchasers may have strong competing whisky brands which may also raise competition concerns in their own right. Further, the OFT is mindful that the possible buyer should be interested in maintaining the private label business of W&M. As such, the OFT has considered whether an up-front buyer requirement is necessary in this case.

232. An up-front buyer requirement means that the proposed divestment purchasers will have committed contractually, subject to formal OFT approval of the UILs, to acquiring the relevant divestment businesses before the OFT accepts the UILs. This means that the OFT will accept UILs only where a provisional sale to an upfront buyer has been agreed, thereby demonstrating that a sale to a suitable purchaser is achievable. It also means that the OFT will consult publicly on the suitability of the proposed divestment purchaser, as well as any other aspects of the draft undertakings, during the public consultation period. The OFT's guidance states that it will seek an up-front buyer where the risk profile of the remedy requires it, for example where the OFT has reasonable doubts with regard to the ongoing viability of the divestment package and/or there exists only a small number of candidate suitable purchasers.⁵⁶

233. In this case the OFT notes that, amongst other criteria, the purchaser would need to have the relevant expertise and incentive to maintain W&M's private label business. As such, the OFT has sufficient concerns

⁵⁵ Which is not to say that no whisky from these distilleries is used in the rest of the W&M business. A small amount is used in private label and W&M branded bottled blended Scotch whisky.

⁵⁶ Mergers - Exceptions to the duty to refer and undertakings in lieu of reference guidance, OFT1122, December 2010, paragraphs 5.31 to 5.37.

about the pool of interested and acceptable buyers available in this case for it to seek an up-front buyer. The OFT has therefore decided that any UILs that it accepts should include an up-front buyer provision.

DECISION

234. The OFT's duty to refer the completed acquisition by Diageo plc of United Spirits Limited to the Competition Commission pursuant to section 22(1) of the Act is suspended because the OFT is considering whether to accept undertakings in lieu of reference from Diageo pursuant to section 73 of the Act.